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Case Number: 25NWCP00408 Hearing Date: July 30, 2026 Dept: SEL

TONIE PIPER, ON BEHALF OF HERSELF AND DERIVATIVELY ON BEHALF OF LOVE BEYOND WORDS, vs DEBRA HARDING, INDIVIDUALLY AND AS DIRECTOR AND MEMBER AND OFFICER OF LOVE BEYOND WORDS LLC, OF BEYOND WORDS RESIDENTIAL CARE

CASE NO.: 25NWCP00408

HEARING: July 30, 2026 @ 9:30 a.m.

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TENTATIVE ORDER

Defendants' Demurrer is SUSTAINED with 30 days leave to amend as to the second, fourth, seventh, eighth, and ninth causes of action First Amended Complaint, and is SUSTAINED without leave to amend as to the fifth and sixth causes of action.

Defendant to give notice.

Background

This is an action for corporate involuntary dissolution. On August 18, 2025, Plaintiff Tonie Piper (on behalf of herself and derivatively on behalf of Love Beyond Words) ("Plaintiff") filed this action against Defendants Debra Harding, (individually and as director and member and officer of Love Beyond Words LLC, of Beyond Words Residential Care LLC, of Beyond Words ARF LLC, of Mayberry's LLC, and of Good Hand Home Care), Beyond Words Residential Care, Beyond Words ARF LLC, Mayberry's LLC, Good Hand Home Care, and Does 1 to 100.

On January 13, 2026, Plaintiff filed the First Amended Complaint (FAC). The FAC alleges that Plaintiff and Defendant Harding entered into an Operating Agreement as the two member/owners of Love Beyond Words ("LBW"), an adult residential facility. Beyond Words Residential Care, LLC ("BWRC") is an adult residential facility owned and operated by Defendant Harding as sole member. Beyond Words ARF, LLC, also doing business as Love Beyond Words Residential Care II, ("BWRAF") is an adult residential facility owned and operated by Defendant Harding as sole member. Mayberry's LLC, also doing business as Love Beyond Words Residential Care, ("Mayberry's") is an adult residential facility owned and operated by Defendant Harding as sole member. Good Hands Home Care ("GHHC"), also doing business as Love Beyond

Words Residential Care, is an adult residential facility owned and operated by Defendant Harding as sole member.

The FAC alleges that the forgoing entities (hereinafter, "LBW Alter Ego Entities") were created by Defendant Debra Harding "to replace LBW, to withhold the business revenue due LBW, to withhold a share of LBW profits, to take the income earnings due Plaintiff Tonie, to perform the activities of LBW, to undermine the LBW ownership interest of Plaintiff Tonie, and to unlawfully dilute LBW ownership interest of [Plaintiff]. In effect [Defendant]. . . attempted to unlawfully dissolve LBW, and thereby take any earnings, assets, and ownership interests held by or owed to Plaintiff or LBW." (FAC, ¶ 44.) Further, the Complaint alleges that an adult residential facility must be licensed by California's Community Care Licensing (CCL) Division. The FAC alleges that "LBW possesses CCL number 198603544, but that [BWARF] inappropriately also possesses CCL number 198603544, which implies that the CCL license was inappropriately transferred to one of the LBW Alter Ego Entities, effectively dissolving LBW and Plaintiff's interest in LBW." (FAC, ¶ 47.)

The Complaint alleges the following causes of action:

Appointment of a Receiver and Involuntary Dissolution (Corp. Code §17707.03, CCP §564);

Breach of Fiduciary Duty Derivative Claim (Corp. Code, §§17709);

Breach of Fiduciary Duty Direct Claim;

Self-Dealing;

Alter Ego / Piercing the Corporate Veil;

Aiding and Abetting a Breach of Fiduciary Duty;

Accounting and for Declaratory and Injunctive Relief;

Fraud By Concealment; and

Conversion.

Defendants Debra Harding, Beyond Words Residential Care, Beyond Words ARF, and Mayberry's (collectively, "Defendants") now demur to second, fourth, fifth, sixth, seventh, eighth, and ninth causes of action.

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. ("Donabedian") (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy, (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC, (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist., (1969) 70 Cal.2d 240, 245.)

Meet and Confer

Code of Civil Procedure section 430.41 requires that the parties meet and confer “in person, by telephone, or by video conference.” (Code Civ. Proc., § 430.41, subd. (a).)

The Notice of Motion states that the parties met and conferred telephonically regarding the issues in the Demurrer. (Notice, 1:15-16.) The Court finds that the meet and confer requirement has been met.

Discussion

Derivative Claims

“No action shall be instituted or maintained in right of any domestic or foreign limited liability company by any member of the limited liability company unless both of the following conditions exist: 2) The plaintiff alleges in the complaint with particularity the plaintiff’s efforts to secure from the managers the action the plaintiff desires or the reasons for not making that effort, and alleges further that the plaintiff has either informed the limited liability company or the managers in writing of the ultimate facts of each cause of action against each defendant or delivered to the limited liability company or the managers a true copy of the complaint that the plaintiff proposes to file.”

(Corp. Code, § 17709.02, subd. (a)(2).)

Defendants argue that the second, fourth, sixth, seventh, eighth, and ninth causes of action subject to this Demurrer are brought derivatively on behalf on LBW. Defendants argue that Plaintiff lacks standing to bring such derivative claims because the FAC contains no allegations that Plaintiff made a proper demand under Corporation Code section 17709.02, subdivision (a)(2) before filing suit.

In opposition, Plaintiff argues that the demand requirement of Corporation Code section 17709.02, subdivision (a)(2) is adequately alleged, or alternatively, is excused by futility. Plaintiff further suggests that the demand requirement does not apply to closely-held corporations, citing *Jara v. Suprema Meats, Inc.* (“Jara”) (2004) 121 Cal.App.4th 1238. Lastly, Plaintiff asserts that any failure to comply with demand requirement for derivative claims does not completely bar the subject causes of action because they are not completely derivative claims—they are also brought directly by Plaintiff as an individual.

In reply, Defendants reiterate that the FAC fails to allege that Plaintiff made a demand to Defendant Harding that comports with the Corporation Code. Despite Plaintiff’s arguments, the FAC clearly alleges the subject causes of action as derivative actions, not direct actions. Defendants argue that Plaintiff “cannot convert her derivative claims to direct claims to avoid the rigorous derivative standing requirements.” (Reply, 3:4-5.) Defendants further note that the demand requirement applies to closely held corporations, citing *Nelson v. Anderson* (1999) 72 Cal. App. 4th 111, 127–28.

The Court initially notes that both parties’ cited authorities involve analysis of Corporations Code section 800, pertaining to requirements for shareholder derivative actions against corporations. However, the “principles governing derivative actions in the context of corporations apply to limited liability companies and limited partnerships.” (*Schrage v. Schrage* (2021) 69 Cal.App.5th 126, 150.) The Court finds that the *Jara* case did not explicitly state that the demand requirement did not apply in derivative suits regarding closely held corporations. Rather, the *Jara* court held that, because certain policies favoring

derivative actions were not applicable in that case, the trial court erred in dismissing a breach of fiduciary duty claim on the ground that the claim could only be asserted in a derivative action. (Jara, supra, 121 Cal.App.4th pp. 203-204.) In other words, the court held that the minority shareholder was able to initiate a direct action against the majority shareholders for breach of fiduciary duty. (Ibid.)

The Court finds that the subject causes of action are brought solely as derivative claims on behalf of LBW. Each cause of action's heading is labeled with "DERIVATIVE CLAIM" or otherwise states that the cause of action is brought "derivatively." (See FAC, ¶¶ 123, 167, 179, 191, 205.) The Court thus finds that the Nelson case applies. Failing to comply with the statutory requirements for bringing a derivative action deprives the shareholder of standing. (See Nelson v. Anderson (1999) 72 Cal.App.4th 111, 127 [applying the principle to a hypothetical derivative action involving a corporation held by two shareholders].)

Here, the Court finds that the FAC's allegations fail to comport with Corporation Code section 17709.02, subdivision (a)(2). The FAC vaguely alleges that the parties exchanged demand letters, which was initiated by Defendant, and that any further demand would be futile because Defendant Harding "is the sole managing member of all Defendant Companies. . . engaged in the self-dealing and wrongful conduct alleged herein, and is personally involved in the wrongdoing." (FAC, ¶ 55.) However, the "mere threat of personal liability for approving a questioned transaction by itself is insufficient to refute the disinterestedness or independence of a director. Therefore, [a] plaintiff may not bootstrap allegations of futility by pleading merely that the directors participated in the challenged transaction or that they would be reluctant to sue themselves." (Bader v. Anderson (2009) 179 Cal.App.4th 775, 792-793, internal quotations and citations omitted.) The bottom line is that the FAC fails to adequately allege with particularity the requirements detailed in Corporation Code section 17709.02, subdivision (a)(2).

Accordingly, the Demurrer is sustained to the second, fourth, sixth, seventh, eighth, and ninth causes of action with 30 days leave to amend.

Fifth Cause of Action – Alter Ego/Piercing the Veil

As to the fifth cause of action for alter ego/piercing the veil, Defendants argue that such claim is not recognized as an independent cause of action.

In opposition, Plaintiff states that "Plaintiff does not oppose sustaining the demurrer to the Fifth Cause of Action to the extent it is construed as asserting alter ego as a standalone claim." (Opp., 10:1-2.)

The Court agrees with Defendants. "A claim against a defendant, based on the alter ego theory, is not itself a claim for substantive relief. . . but rather, procedural, i.e., to disregard the corporate entity as a distinct defendant and to hold the alter ego individuals liable on the obligations of the corporation where the corporate form is being used by the individuals to escape personal liability, sanction a fraud, or promote injustice." (Hennessey's Tavern, Inc. v. American Air Filter Co. (1988) 204 Cal.App.3d 1351, 1359.)

Accordingly, the Demurrer to the fifth cause of action is sustained without leave to amend.

Sixth Cause of Action – Aiding and Abetting

Liability for aiding and abetting another's tort may be imposed upon a party where that party "(a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person." (Casey v. U.S. Bank National Association (2005) 127 Cal.App.4th 1138, 1144.)

Defendants argue that the sixth cause of action for aiding and abetting breach of fiduciary duty against Defendant Harding is duplicative and not actionable because Ms. Harding cannot aid and abet herself in breaching any fiduciary duty.

In opposition, Plaintiff does not oppose sustaining the demurrer to the sixth cause of action to the extent that it is alleged against Defendant Harding individually. Plaintiff states that the claim “remains as to other persons or entities that knowingly participated in or benefitted from the misconduct.” (Opp., 15:13-14.)

The Court finds that the aiding and abetting claim is inappropriate to the extent it alleges that Defendant Harding aided and abetted her own breach of fiduciary duties.

Accordingly, the Demurrer to the sixth cause of action is sustained without leave to amend.

Eighth Cause of Action – Fraudulent Concealment

The elements for fraudulent concealment are as follows: 1) defendant concealed or suppressed a material fact, 2) defendant was under a duty to disclose the fact to the plaintiff, 3) defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, 4) plaintiff was unaware of the fact and would not have acted in the same way knowing of the concealed or suppressed fact, 5) causation, and the plaintiff sustained damage. (See *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 868; see also *Lovejoy v. AT&T Corp.* (2001) 92 Cal.App.4th 85, 96; *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 748.) The rule of specifically pleading how, when, where, to whom, and by what means, misrepresentations were communicated, applies to affirmative misrepresentations, not to concealment. (See *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.)

The eighth cause of action is based on Defendant Harding’s alleged fraudulent concealment regarding an unauthorized withdrawal of \$150,000 from a financial account owned by LBW on April 4, 2025. (FAC, ¶¶ 194.)

As to the eighth cause of action for fraudulent concealment, Defendants argue that the FAC fails to adequately state a claim. Specifically, the FAC fails to allege that any of the Defendants “(i) concealed the withdrawal of funds from LBW’s bank account; (ii) had a duty to disclose or obtain preapproval of withdrawals from the bank account; (iii) had intent to defraud LBW or Plaintiff; and (iv) engaged in any concealment which induced action or inaction by Plaintiff or LBW resulting in damage.” (Dem., 2:4-7.) Defendants assert that the FAC is contradictory. For example, the FAC alleges that had access to the same Chase Business Account in May 2025 when Plaintiff withdrew an “equal amount” of money and deposited it into an attorney-client trust account. (FAC, ¶ 85.) Further, it is unclear why Defendant Harding had a duty to disclose the withdrawal to Plaintiff where the FAC admits that Defendant Harding was solely responsible for managing the financial affairs of LBW. (FAC, ¶¶ 87, 193.)

Additionally, Defendants argue that the fraudulent concealment claim fails to make any specific allegations against the remaining Defendants such that they should be implicated.

In opposition, Plaintiff argues that the fraudulent concealment claim is adequately alleged. Defendants’ arguments regarding 1) Plaintiff’s access to the account or 2) whether the withdrawal was authorized are factual in nature and cannot be resolved on Demurrer. As to the lack of allegations against the remaining Defendants, Plaintiff suggests that they are implicated via the FAC’s alter ego liability theory.

In reply, Defendants assert that the alter ego theory is inapplicable where the FAC alleges that Defendant Harding, not the corporate Defendants, committed the fraudulent concealment. Alter ego theory arises where a corporation’s owner abuse of the corporate form would prevent a party from recovering. In other words, alter ego liability makes an owner liable for corporate fraud, not the other way around.

The Court initially addresses the alter ego theory arguments. The corporate veil may be pierced “where an abuse of the corporate privilege justifies holding the equitable ownership of a corporation liable for the actions of the corporation.” (Sonora Diamond Corp. v Superior Court (2000) 83 Cal.App.4th 523, 538, emphasis added.) “Under the alter ego doctrine, . . . when the corporate form is used to . . . accomplish some [] wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation’s acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners.” (Id.) Therefore, the Court finds that the alter ego allegations cannot make the remaining Defendants liable for the actions of Defendant Harding as an individual.

Further, the Court agrees with Defendants that the FAC is contradictory. The FAC alleges that Defendant Harding has exclusive control of the account and financial records, but also states that she had a duty to disclose the withdrawal to Plaintiff. For example, the FAC alleges that Defendant Harding “exercised exclusive and unilateral control over at least one LBW financial account, including the authority to withdraw, transfer, and disburse LBW funds without contemporaneous oversight.” (FAC, ¶ 193.) The Court finds that it is contradictory that Defendant Harding has a duty to disclose such withdrawal where Harding had authority to withdraw funds “without contemporaneous oversight.” (Ibid.) Additionally, the FAC fails to explicitly allege that Plaintiff would not have acted in the same way knowing of the concealed or suppressed fact. Lastly, the Court agrees with Defendants that the FAC fails to allege damages that resulted from the concealment, distinct from the damages that resulted from the withdrawal.

Accordingly, the Demurrer to the eighth cause of action is sustained with 30 days leave to amend.

Ninth Cause of Action – Conversion

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.) “Money may be the subject of conversion if the claim involves a specific, identifiable sum [....]” (Welco Electronics, Inc. v. Mora (2014) 223 Cal.App.4th 202, 209.)

The ninth cause of action is based on the following allegation:

“206. At all relevant times, LBW owned and had the immediate right to possession of its funds, financial accounts, revenues, tangible property, and intangible assets, including but not limited to cash held in LBW bank and financial accounts.

207. Defendant Debra Harding was a member and managing member of LBW and exercised exclusive and unilateral control over LBW’s financial accounts and assets, including the authority to initiate withdrawals, transfers, and payments.

208. Without authorization from LBW, without member approval, and without any legitimate business purpose, Defendant Debra Harding wrongfully took, withdrew, transferred, and appropriated LBW funds and assets, including but not limited to substantial sums of money withdrawn from LBW financial accounts.

209. Defendant Debra Harding siphoned LBW funds and assets for:

a. Her personal use and benefit; and

b. The use and benefit of alter-ego corporations and entities that were owned and controlled solely by Defendant Debra Harding, and that provided no fair consideration or value to LBW in exchange.

210. Defendant Debra Harding's acts constituted the wrongful exercise of dominion and control over specifically identifiable LBW funds and property, in a manner inconsistent with LBW's rights of ownership and possession.

211. Defendant Debra Harding's conversion was intentional, willful, and carried out with knowledge that the funds and assets belonged to LBW and not to Defendant Debra Harding personally."

(FAC, ¶¶ 208-211.)

As to the ninth cause of action for conversion, Defendants argue that the FAC fails to state a cause of action. Specifically, there are no allegations that Defendant Harding lacked authority to withdraw funds from LBW's account to manage the affairs of the company. Additionally, Defendants argue that conversion claim fails to make any specific allegations against the remaining Defendants such that they should be implicated.

In opposition, Plaintiff argues that the issue of whether Defendant Harding had the authority to withdraw the funds is an issue of fact. Further, Plaintiff makes the same alter ego theory arguments in regard to the viability of conversion claim against the remaining Defendants as Plaintiff did in support of the fraudulent concealment claim.

The Court initially rejects Plaintiff's alter ego arguments for the same reasons stated in the previous section. The Court thus sustains the cause of action on these grounds.

The Court finds that the conversion claim properly alleges 1) LBW's ownership over the property, 2) Defendant Harding's conversion based on wrongful use of the property, and 3) LBW's damages. However, the Court notes that the conversion claim is not based on an identifiable sum of money. (See *PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP*, (2007) 150 Cal.App.4th 384, 395 ["A 'generalized claim for money [is] not actionable as conversion.'"], quoting *Vu v. California Commerce Club, Inc.*, (1997) 58 Cal.App.4th 229, 235.) The Court thus sustained the cause of action on these separate grounds.

Accordingly, the Demurrer to the ninth cause of action is sustained with 30 days leave to amend.